FINANCIAL DILIGENCE SUPPORT - RECORD 011

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-011

1. What was reviewed, from which systems, and on what basis

The scope of work recorded here governs every conclusion in this file, and a reader should not extend a conclusion beyond the period and system stated. On inspection,, management represented that the retention-contingent portion of the deferred consideration is genuinely contingent, and the retention agreements have only partly been provided. Per the register,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records.

By reference,, management represented that all engagement letters for adviser fees exist, but two invoices remain unsupported after two requests. Against the ledger,, interim balances at 2026-06-30 have not been subject to a physical inventory count observed by the reviewer; the June count sheets were requested and only partially provided. Per the workpaper,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. HC-2133 (Thornbury Wholesale) runs 30 months from 2026-02-20. On inspection,, across Thornbury Wholesale, the item is presented gross so that a reader can rebuild the measure from reported results. Hardware, subscription and a training obligation delivered in three sessions across the first quarter of service. Under Thornbury Wholesale, the item is presented gross so that a reader can rebuild the measure from reported results. Thornbury Wholesale carries contracted hardware of $886,400, annual subscription value of $458,900 and a deployment fee of $118,500 across the contracted term. A May 2026 amendment added a fourth training session and a small fee increase. One training session had not been delivered at the cut-off but the full fee was recognized; the exception was quantified and posted.

On the documents,, consolidation covers the parent and the Ontario deployment subsidiary; the dormant Delaware holding entity has no activity in the period and was excluded after inspection of its trial balance. In the file,, no procedures were performed on income taxes beyond identifying the exposures listed, and no view is expressed on the recoverability of any deferred tax balance. In the event,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months. HC-2086 (Kadence Industrial Holdings) runs 60 months from 2025-04-24. In detail,, the largest contract in the population: five facilities, staged hardware transfer, a master subscription with volume tiers, and a managed deployment obligation with a dedicated crew. Under Kadence Industrial Holdings, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. Kadence Industrial Holdings carries contracted hardware of $4,128,700, annual subscription value of $2,046,500 and a deployment fee of $612,000 across the contracted term. Three amendments across 2025 and 2026 adjusted the facility sequence, added a spare parts pool and introduced an annual price escalator. Volume tier pricing creates variable consideration; management estimated the tier achieved rather than constraining to the minimum, and the estimate was tested against actual unit counts.

Taken alone,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. In substance,, certain amounts described here as agreed were agreed with management during fieldwork and have not been re-presented in a revised set of financial statements. On the papers,, the reviewer worked from the statutory ledger throughout; where management's own adjustments had been posted into the ledger they were reversed before analysis rather than accepted as reported. HC-2109 (Pinecrest Retail Services) runs 36 months from 2025-09-17. Per the index,, across Pinecrest Retail Services, the item was traced from the summary schedule through the sub-ledger to the source document. Three obligations plus an option for additional units at a discount that testing evaluated as a potential material right. Under Pinecrest Retail Services, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. Pinecrest Retail Services carries contracted hardware of $1,684,500, annual subscription value of $824,200 and a deployment fee of $232,000 across the contracted term. The option was partially exercised in April 2026 for nine units at the discounted price. The discount was assessed as a material right; management allocated no consideration to it, and the reviewer left this as an open judgment.

2. Compensation, vacancies and the committed cost base

The reviewer annualized only where a document fixes the amount and the start date, and treated everything else as a forecast rather than a normalization. On the balance,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. At the cut-off,, segregation between preparer and approver was not enforced until the November 2024 workflow change, and self-approved entries appear on both sides of that date.

Taken alone, management proposed ADJ-32 at $120,000 for FY2024, described as management fee charged by the founder holding entity. As matters stand,, a flat monthly fee charged by a founder-controlled entity covers services partly replaced by the company's own finance team since mid-2024. Management fee charged by was reduced at $74,000 and the reason sits on the schedule itself. Management fee charged by carries a recurrence judgment of normalization, and the supporting file is the intercompany invoice series and the services description in the shared services memorandum. On Management fee charged by, the item was traced from the summary schedule through the sub-ledger to the source document. ADJ-11 concerns founder salary normalization to market and was raised by management as a pro forma item. At the cut-off,, management proposes to hold founder compensation at its current below-market level on the argument that the founders will not renegotiate. On Founder salary normalization to, the reviewer recorded that no comparable item was found in the two earlier periods examined. Founder salary normalization to is recorded as a deduction of $145,000 in LTM Jun-2026, evidenced by a compensation benchmark memorandum prepared by management's advisers. Founder salary normalization to was rejected outright and the reason sits on the schedule itself. Per the register, the tie-out includes ADJ-25, Insurance premium refund on the cancelled cargo policy, which deducts $31,200 against FY2024 on a non-recurring basis. In sequence,, a cargo policy cancelled mid-term generated a premium refund credited to insurance expense, reducing reported cost in a period where coverage continued under a replacement policy. Support consists of the broker credit advice and the policy cancellation endorsement, and the item was put forward by diligence. Insurance premium refund on was accepted at $31,200: the endorsement and the replacement policy together show that coverage cost did not fall, only the accounting entry. On Insurance premium refund on, the reviewer declined to net this item against another with an opposite direction in the same period.

In the file, management proposed ADJ-13 at $88,250 for FY2025, described as trade show and customer summit costs. On the balance,, management characterizes the inaugural customer summit as a one-time brand investment. Trade show and customer was rejected outright: a second summit was contracted for October 2026 before the diligence cut-off, which makes the cost recurring in substance. Trade show and customer carries a recurrence judgment of non-recurring, and the supporting file is event vendor invoices and the internal event budget reconciliation. On Trade show and customer, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. ADJ-14 concerns bad debt write-off on the dunbar industrial receivable and was raised by management as a non-recurring item. On testing,, the customer entered an assignment for benefit of creditors in October 2024 and the balance was written off in full. On Bad debt write-off on, no projection was made from this item because it arises from a single identifiable event. Bad debt write-off on is recorded as a add-back of $154,900 in FY2024, evidenced by the write-off approval memorandum and the customer's bankruptcy notice. Bad debt write-off on was reduced at $118,400 and the reason sits on the schedule itself. On this point, among the larger items is ADJ-31, Prepaid maintenance expensed on payment, which deducts $46,900 against FY2024 on a reclassification basis. On the papers,, a twenty-four month maintenance contract was expensed when paid, front-loading cost into 2024 and leaving later periods understated. Support consists of the vendor contract term, the payment advice and the prepaid schedule, and the item was put forward by diligence. Prepaid maintenance expensed on was accepted at $46,900: the contract term is explicit and the prepaid schedule shows no corresponding asset, so the misstatement is a matter of arithmetic rather than judgment. On Prepaid maintenance expensed on, a second preparer reperformed the arithmetic and reached the same figure to the dollar.

Read narrowly, management proposed ADJ-22 at $138,900 for Q1-2026, described as contractor conversion cost differential. On the source,, eleven field technicians converted from agency contracts to direct employment in February 2026, and management annualizes the resulting rate saving. Contractor conversion cost differential was reduced at $92,400: the reviewer applied the differential only to the converted population and added back employer taxes and benefit loading management had omitted. Contractor conversion cost differential carries a recurrence judgment of run-rate, and the supporting file is offer letters for eleven converted contractors and the contractor billing history. On Contractor

conversion cost differential, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Per the index, the tie-out includes ADJ-41, Warranty accrual shortfall against observed failure rates, which deducts $79,600 against LTM Jun-2026 on a normalization basis. On the balance,, the warranty accrual rate has not been updated since 2023 although observed failure rates on the current chassis are higher than the rate assumed. Support consists of the field failure log, the parts cost file and a recalculated accrual, and the item was put forward by diligence. Warranty accrual shortfall against was reduced at $48,300 and the reason sits on the schedule itself. On Warranty accrual shortfall against, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected. On the merits, the tie-out includes ADJ-10, Deployment labour capitalized in error, which deducts $213,800 against FY2025 on a reclassification basis. Read narrowly,, field crew hours spent commissioning customer sites were added to internal-use software rather than expensed, understating cost of deployment services in the year the work was performed. Support consists of the fixed asset addition schedule traced to timesheets for four deployment crews, and the item was put forward by diligence. Deployment labour capitalized in was accepted at $213,800 and the reason sits on the schedule itself. On Deployment labour capitalized in, this is one of the items the seller's adviser has indicated it will contest at the closing meeting.

Schedule 11.1 - Headcount and committed cost by function

Function	Filled	Open	Annualized cost ($)	Vacancy effect ($)	Contractual commitment	Run-rate view
Engineering - platform	2	0	1,599,997	0	No commitments beyond current staff	Annualize excluding vacancies
Engineering - motion	27	0	1,491,589	0	One retained search in progress	Annualize including signed offers
Engineering - safety	24	2	468,780	12,020	Backfill required by contract	Annualize including signed offers
Engineering - test	24	2	3,464,448	88,832	Contractor cover in place pending a hire	Annualize current staff
Field deployment crews	16	5	1,432,756	113,710	Approved but not yet advertised	Annualize excluding vacancies
Field service	19	5	1,344,543	93,371	Two signed offers with start dates in the next quarter	Annualize current staff
Remote operations	28	4	2,636,813	109,867	Contractor cover in place pending a hire	Annualize excluding vacancies
Supply chain	3	1	3,039,411	253,284	One retained search in progress	Annualize current staff
Manufacturing	3	5	3,363,644	700,759	Approved but not yet advertised	Annualize excluding vacancies
Quality	28	0	3,405,688	0	Backfill required by contract	Annualize including signed offers
Sales - enterprise	12	1	3,193,215	81,877	One retained search in progress	Annualize excluding vacancies
Sales - mid-market	25	2	2,326,712	57,449	No commitments beyond current staff	Hold at current cost
Sales operations	13	3	2,963,640	185,227	Backfill required by contract	Annualize excluding vacancies
Marketing	24	5	1,240,558	71,296	Approved but not yet advertised	Annualize excluding vacancies
Customer success	18	1	3,695,826	64,839	No commitments beyond current staff	Annualize current staff
Finance	2	5	2,005,288	477,449	Contractor cover in place pending a hire	Annualize including signed offers

Function	Filled	Open	Annualized cost ($)	Vacancy effect ($)	Contractual commitment	Run-rate view
People and talent	24	1	3,191,565	42,554	Two signed offers with start dates in the next quarter	Annualize excluding vacancies
Legal and compliance	18	4	2,415,537	146,396	No commitments beyond current staff	Annualize current staff
IT and security	15	5	445,120	37,093	One retained search in progress	Hold at current cost
Executive	12	5	3,501,416	343,276	Two signed offers with start dates in the next quarter	Annualize current staff

3. Diligence-identified adjustments and their evidence

Several of the items below move earnings downward, and they are presented with the same evidence standard applied to the seller's upward items. As to the facts,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. As to the facts,, bank reconciliations are prepared monthly and reviewed, but three months carry unexplained items that were carried forward rather than cleared.

On the papers, management proposed ADJ-26 at $78,000 for FY2025, described as board and advisory fees settled in cash. On the source,, management proposes to remove non-executive board cost on the basis that the buyer will appoint its own directors without fees. Board and advisory fees was rejected outright and the reason sits on the schedule itself. Board and advisory fees carries a recurrence judgment of normalization, and the supporting file is board minutes, the advisory agreements and the payment register. On Board and advisory fees, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. ADJ-01 concerns dependent enrollment overpayment on the medical plan and was raised by management as a non-recurring item. On the merits,, the charge arose from a dependent-enrollment error the carrier corrected in April 2024, and no comparable charge appears in the twenty-six months since. On Dependent enrollment overpayment on, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. Dependent enrollment overpayment on is recorded as a add-back of $41,860 in FY2024, evidenced by carrier invoices for February through April 2024 and the corrected enrollment file. Dependent enrollment overpayment on was accepted at $41,860: the carrier credit memo agrees to the ledger and the condition that produced the cost has been removed at the source. In substance, diligence proposed ADJ-36 at $53,400 for LTM Jun-2026, described as unrecorded credit balance owed to evergreen warehousing. Taken alone,, an overpayment received in March 2026 was recorded as revenue against an open invoice that had already been settled, so the amount is a liability to the customer rather than earnings. Unrecorded credit balance owed was accepted at $53,400: the unapplied cash report and the customer statement agree, and management issued the credit memorandum in July 2026. Unrecorded credit balance owed carries a recurrence judgment of normalization, and the supporting file is the customer statement, the unapplied cash report and the account reconciliation. On Unrecorded credit balance owed, the reviewer recorded that no comparable item was found in the two earlier periods examined.

ADJ-13 concerns trade show and customer summit costs and was raised by management as a non-recurring item. As matters stand,, management characterizes the inaugural customer summit as a one-time brand investment. On Trade show and customer, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. Trade show and customer is recorded as a add-back of $88,250 in FY2025, evidenced by event vendor invoices and the internal event budget reconciliation. Trade show and customer was rejected outright and the reason sits on the schedule itself. On the papers, among the larger items is ADJ-02, Financing and diligence legal fees, which adds back $318,455 against LTM Jun-2026 on a non-recurring basis. On the record,, the fees relate to financing preparation and diligence response rather than to running the business, and the engagement letters scope the work accordingly. Support consists of three law-firm invoices coded to outside professional fees, with engagement letters, and the item was put forward by management. Financing and diligence legal was reduced at $291,200: one invoice bundles routine commercial contract review with transaction work, and the reviewer left the commercial portion in reported results. On Financing and diligence legal, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. On the papers, diligence proposed ADJ-28 at $88,500 for FY2025, described as supplier recovery on the harness defect. On this point,, the supplier settled part of the rework campaign cost, and the recovery was credited to cost of sales

in the same year the scrap arose. Supplier recovery on the was accepted at $88,500 and the reason sits on the schedule itself. Supplier recovery on the carries a recurrence judgment of non-recurring, and the supporting file is the supplier settlement letter and the credit applied against open payables. On Supplier recovery on the, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference.

ADJ-35 concerns foreign exchange loss on the ontario deployment payables and was raised by management as a normalization item. On the merits,, management treats translation losses on Canadian supplier balances as outside operating performance. On Foreign exchange loss on, the conclusion is stated at the low end of the supportable range, as the file convention requires. Foreign exchange loss on is recorded as a add-back of $24,830 in FY2025, evidenced by the currency revaluation report and the two Canadian supplier invoices. Foreign exchange loss on was rejected outright: the company buys deployment materials in Canadian dollars every quarter without hedging, so exchange movement is an ordinary feature of this cost base in both directions. ADJ-04 concerns owner's vehicle and club dues and was raised by management as a normalization item. From the extract,, personal expenses run through the company are removed to present the cost structure a buyer would inherit. On Owner's vehicle and club, the supporting document was produced after two requests and its late arrival is noted in the register. Owner's vehicle and club is recorded as a add-back of $34,720 in FY2025, evidenced by general ledger detail for accounts 6410 and 6455 with supporting statements. Owner's vehicle and club was reduced at $22,180 and the reason sits on the schedule itself. On the substance, a further item, ADJ-27, Scrap on the wrist-joint harness rework campaign, which adds back $142,650 against FY2025 on a non-recurring basis. In the event,, a supplier harness defect required rework across ninety-four units, and the scrap generated during the campaign was charged to cost of sales in the third quarter of 2025. Support consists of the rework work orders, the scrap ticket file and the supplier corrective action report, and the item was put forward by management. Scrap on the wrist-joint was reduced at $96,300: the reviewer excluded baseline scrap at the historical rate and added back only the campaign-specific excess. On Scrap on the wrist-joint, the item was traced from the summary schedule through the sub-ledger to the source document.

Schedule 11.2 - Cost of delivery by line across three periods

Bucket	Cost line	FY2024 ($)	FY2025 ($)	LTM Jun-2026 ($)	Run-rate view	Driver
Hosting	Fleet telemetry compute	684,300	1,142,800	1,386,400	Run-rate	Compute cost scales with active units and with telemetry reten
Hosting	Object storage and retention	148,600	236,400	312,800	Run-rate	Retention was extended from ninety days to one year in mid-202
Hosting	Data egress and interconnect	62,400	118,900	96,700	Run-rate	Egress fell after the 2026 hosting renegotiation moved traffic
Field support	Deployment crew wages	1,284,600	1,846,200	2,142,900	Run-rate	Crew headcount grew from eleven to nineteen as site volume inc
Field support	Travel and per diem	386,400	512,800	468,300	Run-rate	Travel cost per site fell as regional crews replaced fly-in te
Field support	Subcontracted installation	214,800	468,900	386,200	Mixed	Subcontractors absorb peak installation demand and the mix bet
Field support	Remote operations coverage	168,200	296,400	384,600	Run-rate	Overnight remote operations cover was introduced in 2025 for c
Spares and warranty	Warranty parts consumption	246,800	418,600	462,400	Run-rate	Consumption tracks installed base and the failure rate of the
Spares and warranty	Rework campaign labour	0	142,650	0	One-time	The wrist-joint harness campaign

Bucket	Cost line	FY2024 ($)	FY2025 ($)	LTM Jun-2026 ($)	Run-rate view	Driver
						in the third quarter of 2025
Spares and warranty	Spares pool carrying cost	84,600	128,400	146,800	Run-rate	The spares pool was enlarged when the Kadence contract introdu
Freight and duty	Inbound freight on components	318,400	462,800	428,600	Run-rate	Inbound freight rates fell in 2026 after two ocean lanes were
Freight and duty	Outbound freight to sites	268,900	386,400	411,860	Run-rate	Outbound cost follows unit volume and the geographic spread of
Freight and duty	Customs duty and brokerage	142,600	218,400	246,900	Run-rate	Duty on imported drive assemblies increased when the supplier
Hardware cost	Chassis and drive assemblies	2,468,900	3,842,600	4,186,400	Run-rate	Unit cost fell about four per cent as volumes crossed the seco
Hardware cost	Sensor and vision modules	846,200	1,268,400	1,396,800	Run-rate	A supplier change in early 2026 lowered module cost but introd
Hardware cost	Scrap and yield loss	118,400	264,800	186,200	Mixed	Scrap rose during the harness campaign and during the first pr
Hardware cost	Rework and refurbishment	96,800	218,400	142,600	Mixed	Refurbishment of returned pilot units is a recurring activity,
Launch and onboarding	Layout simulation and design	168,400	286,900	342,800	Run-rate	Simulation work is now performed for every new site and is bil
Launch and onboarding	Operator training delivery	96,200	168,800	214,600	Run-rate	Training hours per site are stable; the increase follows site
Launch and onboarding	First-site engineering support	142,800	96,400	118,600	Mixed	Engineering time spent stabilizing a customer's first site dec
Launch and onboarding	Customer-specific integration build	214,600	342,800	286,400	Run-rate	Integration work with customer warehouse management systems is
Allocated overhead	Quality and test engineering	186,400	248,600	284,900	Run-rate	Test engineering supports both production and field diagnosis
Allocated overhead	Facilities charged to production	142,800	168,400	186,200	Run-rate	The production floor share of the Fremont facility is allocate
Allocated overhead	Depreciation on production tooling	96,400	142,600	168,800	Run-rate	Tooling additions for the second-generation chassis began depr

4. Gross margin normalization

Margin normalization is the part of this work most easily overstated, so the reviewer required evidence that a cost has stopped before removing it from the cost base. On inspection,, journal approval operates through a workflow field that

can be left blank, and the reviewer found it blank on entries with a material aggregate value. On the merits,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed.

Inbound freight on components sits in freight and duty and moved from $318,400 to $462,800 and then to $428,600. In this stream,, inbound freight rates fell in 2026 after two ocean lanes were consolidated with a single forwarder. On Inbound freight on components, the file records the question asked, the answer given and the document that settled it. The saving is realized rather than planned, and the trailing figure already reflects most of it. The line is carried forward as run-rate. Per the workpaper, the trend for fleet telemetry compute within the hosting bucket at $684,300 in FY2024, $1,142,800 in FY2025 and $1,386,400 for the trailing twelve months to June 2026. On its facts,, compute cost scales with active units and with telemetry retention, both of which rose through the period. The run-rate view is run-rate. For Fleet telemetry compute, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. On Fleet telemetry compute, the item was raised in the interim update and is carried forward unchanged into this file. Taken alone, turning to outbound freight to sites within the freight and duty bucket at $268,900 in FY2024, $386,400 in FY2025 and $411,860 for the trailing twelve months to June 2026. On the evidence,, outbound cost follows unit volume and the geographic spread of new sites. The run-rate view is run-rate. No adjustment is proposed; the duplicated November 2025 accrual is dealt with separately. On Outbound freight to sites, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected.

Read narrowly, within cost of sales, travel and per diem within the field support bucket at $386,400 in FY2024, $512,800 in FY2025 and $468,300 for the trailing twelve months to June 2026. In detail,, travel cost per site fell as regional crews replaced fly-in teams for the eastern accounts. The run-rate view is run-rate. For Travel and per diem, the conclusion rests on a document produced by a third party rather than by the company. On Travel and per diem, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. Subcontracted installation sits in field support and moved from $214,800 to $468,900 and then to $386,200. In detail,, subcontractors absorb peak installation demand and the mix between own crew and subcontract varies quarter to quarter. On Subcontracted installation, the item was selected for testing because of its characteristics rather than its size. No normalization is proposed because the mix is a capacity choice rather than a one-time event. The line is carried forward as mixed. Per the index, a further line, data egress and interconnect within the hosting bucket at $62,400 in FY2024, $118,900 in FY2025 and $96,700 for the trailing twelve months to June 2026. By reference,, egress fell after the 2026 hosting renegotiation moved traffic onto a committed private interconnect. The run-rate view is run-rate. The lower rate is contractual from May 2026, so trailing cost overstates the forward position and the difference sits on the adjustment schedule. On Data egress and interconnect, the reviewer recorded that no comparable item was found in the two earlier periods examined.

On the merits, hardware cost includes rework and refurbishment, classified mixed. Taken alone,, refurbishment of returned pilot units is a recurring activity, while the harness rework was campaign-driven. For rework and refurbishment the measured amounts are $96,800 in FY2024, $218,400 in FY2025 and $142,600 for the trailing twelve months to June 2026. For Rework and refurbishment, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. On Rework and refurbishment, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. From the extract, launch and onboarding includes first-site engineering support, classified mixed. As to the facts,, engineering time spent stabilizing a customer's first site declines as the product matures but has not disappeared. For first-site engineering support the measured amounts are $142,800 in FY2024, $96,400 in FY2025 and $118,600 for the trailing twelve months to June 2026. For First-site engineering support, no further procedures were considered necessary once the source document had been inspected. On First-site engineering support, a small residual difference remains and is reported rather than described as immaterial and omitted. On inspection, freight and duty includes customs duty and brokerage, classified run-rate. In sequence,, duty on imported drive assemblies increased when the supplier moved production between plants in 2025. For customs duty and brokerage the measured amounts are $142,600 in FY2024, $218,400 in FY2025 and $246,900 for the trailing twelve months to June 2026. The higher duty rate applies to the current supply arrangement and is therefore run-rate. On Customs duty and brokerage, the conclusion would change if the missing supporting document is later produced in a different form.

Schedule 11.3 - Trial balance to management report tie-out

Account	Description	Statutory ledger ($)	Management report ($)	Difference ($)	Reason
4010	Subscription revenue	2,586,736	2,583,064	(3,672)	Cut-off entry posted after the extract
4020	Hardware revenue	2,832,277	2,829,338	(2,939)	Memo adjustment posted in the management ledger
4030	Deployment services revenue	4,254,691	4,258,685	3,994	Management reclassification reversed
4040	Training and onboarding revenue	3,302,159	3,302,844	685	Agrees without difference
4050	Analytics module revenue	4,367,914	4,368,784	870	Cut-off entry posted after the extract
4090	Service credits	4,324,884	4,326,621	1,737	Agrees without difference
5010	Chassis and drive assemblies	664,293	659,736	(4,557)	Cut-off entry posted after the extract
5020	Sensor and vision modules	4,217,546	4,219,216	1,670	Rounding in the reporting pack
5030	Scrap and yield loss	3,727,671	3,731,997	4,326	Cut-off entry posted after the extract
5040	Rework and refurbishment	101,517	102,882	1,365	Timing of the July mapping change
5110	Hosting compute	808,322	813,102	4,780	Management reclassification reversed
5120	Storage and retention	4,499,776	4,495,245	(4,531)	Allocation applied only in management reporting
5130	Data egress	3,586,596	3,586,553	(43)	Allocation applied only in management reporting
5210	Deployment crew wages	3,506,998	3,503,540	(3,458)	Timing of the July mapping change
5220	Travel and per diem	1,777,449	1,781,049	3,600	Rounding in the reporting pack
5230	Subcontracted installation	2,150,507	2,153,730	3,223	Memo adjustment posted in the management ledger
5310	Warranty parts	1,893,065	1,892,944	(121)	Management reclassification reversed
5320	Spares carrying cost	3,812,976	3,814,330	1,354	Timing of the July mapping change
5410	Inbound freight	3,199,019	3,202,657	3,638	Allocation applied only in management reporting
5420	Outbound freight	1,992,420	1,991,912	(508)	Agrees without difference
5430	Customs duty and brokerage	3,049,577	3,053,609	4,032	Rounding in the reporting pack
6110	Engineering salaries	378,183	377,450	(733)	Management reclassification reversed
6120	Capitalized development	575,684	578,657	2,973	Rounding in the reporting pack
6210	Sales salaries	4,829,632	4,832,897	3,265	Timing of the July mapping change
6220	Sales commissions	2,798,702	2,794,848	(3,854)	Memo adjustment posted in the management ledger
6230	Marketing and events	3,850,728	3,850,084	(644)	Timing of the July mapping change
6310	General and administrative	513,358	509,872	(3,486)	Timing of the July mapping change
6320	Professional fees	3,459,213	3,455,813	(3,400)	Allocation applied only in management reporting
6330	Insurance	284,286	282,642	(1,644)	Management

Account	Description	Statutory ledger ($)	Management report ($)	Difference ($)	Reason
					reclassification reversed
6410	Vehicle costs	534,550	535,792	1,242	Agrees without difference
6455	Club and membership dues	1,202,635	1,204,445	1,810	Timing of the July mapping change
6510	Occupancy - Fremont	1,920,383	1,917,935	(2,448)	Agrees without difference
6520	Occupancy - sublease	481,055	485,322	4,267	Allocation applied only in management reporting
6610	Share-based compensation	3,788,222	3,792,519	4,297	Rounding in the reporting pack
6710	Depreciation - tooling	1,549,954	1,546,023	(3,931)	Cut-off entry posted after the extract
6720	Depreciation - fleet	3,835,745	3,832,480	(3,265)	Memo adjustment posted in the management ledger
7010	Interest expense	4,690,437	4,689,986	(451)	Cut-off entry posted after the extract
7020	Other income - grants	743,903	748,591	4,688	Memo adjustment posted in the management ledger
7030	Foreign exchange	1,211,019	1,211,497	478	Timing of the July mapping change
7040	Research credits	3,358,525	3,362,424	3,899	Rounding in the reporting pack

5. Basis of preparation and the control environment behind the numbers

The reported figures are the output of a monthly close process with identifiable weaknesses, and this section describes that process rather than assuming it operates. On the evidence,, segregation between preparer and approver was not enforced until the November 2024 workflow change, and self-approved entries appear on both sides of that date. On the substance,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger.

In the file,, interim balances at 2026-06-30 have not been subject to a physical inventory count observed by the reviewer; the June count sheets were requested and only partially provided. At the cut-off,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap. As to the facts,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off. On the documents, a further exception, JE-25-0311, posted 2025-03-31 by M. Okonjo approved by T. Vasquez, for $213,800 and classified as a capitalization entry. On the balance,, deployment crew labour was moved from cost of sales to internal-use software in a single quarter-end entry. The reviewer reversed the entry in its analysis; management has since changed the coding rule at source. On this capitalization entry, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment.

Per the workpaper,, approver fields are blank on a subset of journal entries, which prevents any conclusion on the operation of the journal approval control during the affected periods. On any view,, the reviewer worked from the statutory ledger throughout; where management's own adjustments had been posted into the ledger they were reversed before analysis rather than accepted as reported. On this point,, accruals were historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified. By agreement, a unapproved manual entry of $109,400 appears as JE-25-1291 on 2025-12-31. On its facts,, a commission accrual true-up was posted at year end without an approver and without the bookings register attached. The register was later provided and supports a larger accrual than the entry recorded. For this unapproved manual entry the preparer was R. Calloway, with no approver recorded. On this unapproved manual entry, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file.

In the event,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. At the cut-off,, management represented that no undisclosed

related-party arrangements exist beyond the sublease and the management fee identified in the ledger. Taken alone,, consolidation covers the parent and the Ontario deployment subsidiary; the dormant Delaware holding entity has no activity in the period and was excluded after inspection of its trial balance. Against the ledger, the reviewer selected JE-24-0759, posted 2024-08-30 by T. Vasquez approved by M. Okonjo, for $43,200 and classified as a related-party entry. On this point,, sublease rent to a founder-owned property entity was posted at a rate above comparable industrial space. For this related-party entry, the reviewer confirmed that the same item does not also appear on the net debt schedule. On this related-party entry, the reviewer's conclusion here differs from the position taken in the seller's own vendor material.

6. General ledger exception testing

Every exception carries a disposition, because an exception log without dispositions tells a reader nothing about whether the numbers are wrong. In sequence,, management represented that customer credits are ordinarily applied against future billings rather than refunded, and the credit listing shows two accounts that have requested cash refunds. In the event,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed.

As to the facts, testing surfaced JE-24-0301, posted 2024-02-29 by M. Okonjo approved by T. Vasquez, for $62,400 and classified as a lease accounting entry. Read narrowly,, the Fremont abatement was recorded as a rent reduction in the abated months rather than straight-lined. For this lease accounting entry, the item is cross-referenced to the corresponding entry in the information request register. On this lease accounting entry, the reviewer recorded that no comparable item was found in the two earlier periods examined. On a second read, among the selected entries is JE-26-0556, posted 2026-06-30 by M. Okonjo with no approver recorded, for $168,000 and classified as a unapproved manual entry. Per the register,, a headcount annualization entry was posted at the period end with no approver and no supporting offer letters attached. The offer letters were produced during fieldwork and support the amount; the approval gap is reported. On this unapproved manual entry, the evidence was inspected in original form rather than as a management-prepared summary. In review, a related-party entry of $43,200 appears as JE-24-0759 on 2024-08-30. In the file,, sublease rent to a founder-owned property entity was posted at a rate above comparable industrial space. Two broker opinions were obtained; the lower opinion was used to size the normalization. For this related-party entry the preparer was T. Vasquez, approved by M. Okonjo. On this related-party entry, the reviewer declined to net this item against another with an opposite direction in the same period.

On the record, the journal population produced JE-26-0563, posted 2026-06-30 by R. Calloway approved by R. Calloway, for $121,000 and classified as a self-approved entry. As matters stand,, the hosting savings memo adjustment was posted into the management ledger by its own preparer. Removed from the statutory view; the contractual portion of the saving is carried on the adjustment schedule instead. On this self-approved entry, no projection was made from this item because it arises from a single identifiable event. In the file, a capitalization entry of $61,400 appears as JE-26-0402 on 2026-04-30. On a second read,, cloud configuration work was capitalized on the basis of a summary description rather than ticket-level evidence. Ticket-level evidence supported only part of the amount; the balance was reclassified to operating expense. For this capitalization entry the preparer was L. Brantley, approved by M. Okonjo. On this capitalization entry, the reviewer declined to net this item against another with an opposite direction in the same period. Per the index, a post-close adjustment of $48,300 appears as JE-26-0561 on 2026-06-30. On the merits,, the warranty accrual was increased after the close was declared complete, following the reviewer's failure-rate analysis. The entry reflects an agreed correction; the amount differs from the reviewer's first estimate and the lower figure was adopted. For this post-close adjustment the preparer was External adviser, approved by M. Okonjo. On this post-close adjustment, the evidence file for this item includes an email chain that fixes the date on which the parties agreed.

By reference, a further exception, JE-25-0938, posted 2025-09-30 by L. Brantley approved by M. Okonjo, for $71,640 and classified as a missing accrual. Per the workpaper,, no accrual was raised for spares received in the final week of September 2025. For this missing accrual, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. On this missing accrual, the conclusion is stated at the low end of the supportable range, as the file convention requires. On the documents, a further exception, JE-24-0692, posted 2024-06-30 by M. Okonjo approved by R. Calloway, for $75,000 and classified as a round-dollar entry. On inspection,, an exactly round accrual for professional fees was posted without a vendor invoice or engagement letter attached. The subsequent invoice

totalled a different amount, and the difference was corrected in the following month. On this round-dollar entry, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. As to the facts, the journal population produced JE-25-1046, posted 2025-10-31 by T. Vasquez approved by M. Okonjo, for $57,450 and classified as a round-dollar entry. In this stream,, a round software subscription accrual was posted while two overlapping licences were being reconciled. The accrual was replaced by invoiced amounts in November 2025 with a small residual credit. On this round-dollar entry, the reviewer asked for the underlying system report and worked from that rather than from the extract provided.

On any view, also flagged is JE-25-0388, posted 2025-04-04 by R. Calloway with no approver recorded, for $18,460 and classified as a unapproved manual entry. In detail,, penalty interest on the equipment facility was reclassified from interest expense to other expense without approval. The reclassification has no effect on the earnings measure; the missing approval is reported as a control observation. On this unapproved manual entry, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. In sequence, fieldwork identified JE-25-0311, posted 2025-03-31 by M. Okonjo approved by T. Vasquez, for $213,800 and classified as a capitalization entry. On the substance,, deployment crew labour was moved from cost of sales to internal-use software in a single quarter-end entry. For this capitalization entry, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. On this capitalization entry, the reviewer declined to net this item against another with an opposite direction in the same period. Read narrowly, a unapproved manual entry of $109,400 appears as JE-25-1291 on 2025-12-31. On the documents,, a commission accrual true-up was posted at year end without an approver and without the bookings register attached. The register was later provided and supports a larger accrual than the entry recorded. For this unapproved manual entry the preparer was R. Calloway, with no approver recorded. On this unapproved manual entry, the conclusion rests on a document produced by a third party rather than by the company.

Schedule 11.4 - Journal population stratification

Stratum and period	Entries	Value ($)	Round-dollar count	Post-close count	Selected for test
Manual entries above $250,000 - FY2025	85	813,404	18	11	3
Manual entries above $250,000 - LTM Jun-2026	55	2,797,444	13	0	9
Manual entries $100,000 to $250,000 - FY2025	145	6,445,456	31	2	11
Manual entries $100,000 to $250,000 - LTM Jun-2026	69	5,629,103	12	2	13
Manual entries $25,000 to $100,000 - FY2025	8	6,678,296	2	1	7
Manual entries $25,000 to $100,000 - LTM Jun-2026	102	3,097,257	14	14	3
Manual entries below $25,000 - FY2025	20	12,259,919	2	1	15
Manual entries below $25,000 - LTM Jun-2026	36	3,454,081	5	3	11
Round-dollar entries at or above $10,000 - FY2025	102	1,982,040	9	16	16
Round-dollar entries at or above $10,000 - LTM Jun-2026	101	7,701,581	17	14	7
Entries posted in the last three days of a period - FY2025	95	3,288,080	9	0	13
Entries posted in the last three days of a period - LTM Jun-2026	15	8,321,437	3	2	3
Entries posted after the close was declared complete -	55	4,855,620	0	1	5

Stratum and period	Entries	Value ($)	Round-dollar count	Post-close count	Selected for test
FY2025					
Entries posted after the close was declared complete - LTM Jun-2026	35	8,048,705	8	0	6
Entries where preparer equals approver - FY2025	16	9,626,767	1	0	8
Entries where preparer equals approver - LTM Jun-2026	75	11,484,614	10	5	13
Entries with no approver recorded - FY2025	71	1,863,719	0	9	8
Entries with no approver recorded - LTM Jun-2026	98	8,887,848	18	7	16
Entries by preparers outside the accounting team - FY2025	105	3,315,913	20	16	7
Entries by preparers outside the accounting team - LTM Jun-2026	44	9,873,155	11	3	12

7. Where the record rests on representation rather than evidence

A representation is recorded here whenever it does the work that a document would otherwise do, together with whatever partial support exists. In the event,, management represented that no bonus was payable for FY2024 following a board decision, and the minutes provided record the decision but not the terms of the plan itself. On the record,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption.

As matters stand,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger. In sequence,, revenue recognition decisions are made contract by contract without a standing checklist, so treatment depends on who prepared the memorandum. On the record,, journal approval operates through a workflow field that can be left blank, and the reviewer found it blank on entries with a material aggregate value. ADJ-39 concerns legal settlement with a former contractor and was raised by management as a non-recurring item. By agreement,, a wage classification claim brought by a former field contractor settled in November 2025 for a single payment with no continuing obligation. On Legal settlement with a, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. Legal settlement with a is recorded as a add-back of $112,500 in H2-2025, evidenced by the settlement agreement, counsel's closing memorandum and the payment advice. Legal settlement with a was accepted at $112,500: the settlement agreement releases all claims and counsel confirmed no related matters remain, so no recurring cost follows.

On a second read,, management represented that customer credits are ordinarily applied against future billings rather than refunded, and the credit listing shows two accounts that have requested cash refunds. In substance,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. On its facts,, post-cut-off trading was reviewed only to July 2026 and only for evidence bearing on balances at the cut-off; it is not a basis for any forward projection. As to the facts, diligence proposed ADJ-03 at $27,315 for FY2025, described as reversal of a duplicated freight accrual. On a second read,, freight for two November shipments was accrued twice, once from the shipping manifest and once from the carrier invoice, so reported cost was understated when the accrual reversed in December. Reversal of a duplicated was accepted at $27,315: the duplication is arithmetically demonstrable from the two source documents and management did not contest it. Reversal of a duplicated carries a recurrence judgment of normalization, and the supporting file is the November 2025 accrual workpaper compared against the carrier statement. On Reversal of a duplicated, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result.

As matters stand,, the standalone selling price analysis supporting allocation on the bundled contracts has not been provided, and the revenue split between obligations on those contracts is therefore unverified. On the papers,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter. In detail,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible. Read narrowly, next in sequence is ADJ-25, Insurance premium refund on the cancelled cargo policy, which deducts $31,200 against FY2024 on a non-recurring basis. On the balance,, a cargo policy cancelled mid-term generated a premium refund credited to insurance expense, reducing reported cost in a period where coverage continued under a replacement policy. Support consists of the broker credit advice and the policy cancellation endorsement, and the item was put forward by diligence. Insurance premium refund on was accepted at $31,200: the endorsement and the replacement policy together show that coverage cost did not fall, only the accounting entry. On Insurance premium refund on, the reviewer compared the item with the equivalent balance in the prior period before reaching a view.

By reference,, no financial statement for any period in scope has been audited; FY2024 and FY2025 were subject to a review engagement and the 2026 stub has had no external involvement at all. On the substance,, segregation between preparer and approver was not enforced until the November 2024 workflow change, and self-approved entries appear on both sides of that date. On the record,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. On the balance, the record contains ADJ-16, Pro forma savings from the renegotiated hosting contract, which adds back $204,000 against Q2-2026 on a pro forma basis. On the substance,, a renegotiated committed-use agreement lowers unit hosting rates from May 2026, and management annualizes the saving against trailing volumes. Support consists of the executed hosting agreement dated 2026-04-30 and a management savings model, and the item was put forward by management. Pro forma savings from was reduced at $121,000: the reviewer accepted the contractual rate reduction applied to trailing volume but not the incremental savings management assumes from future workload shifts. On Pro forma savings from, the reviewer notes that management agreed the facts while reserving its position on the treatment.

Schedule 11.5 - Error projection by population

Population and period	Evidence source	Items tested	Coverage of value	Errors found	Gross error ($)	Projected effect ($)
Hardware transfer dates - FY2025	Acceptance certificates	42	39%	3	179,233	459,571
Hardware transfer dates - LTM Jun-2026	Acceptance certificates	43	75%	5	154,943	206,590
Subscription monthly recognition - FY2025	Billing extract	67	40%	3	30,542	76,355
Subscription monthly recognition - LTM Jun-2026	Billing extract	43	26%	1	153,770	591,423
Deployment milestone revenue - FY2025	Milestone certificates	40	81%	3	13,249	16,356
Deployment milestone revenue - LTM Jun-2026	Milestone certificates	44	83%	5	98,961	119,230
Training obligation delivery - FY2025	Attendance records	73	79%	5	183,218	231,921
Training obligation delivery - LTM Jun-2026	Attendance records	39	32%	2	185,477	579,615
Service credits and rebates - FY2025	Credit memoranda	39	26%	4	137,830	530,115
Service credits and rebates - LTM Jun-2026	Credit memoranda	24	38%	1	136,290	358,657

Population and period	Evidence source	Items tested	Coverage of value	Errors found	Gross error ($)	Projected effect ($)
Accounts payable cutoff - FY2025	Goods receipt notes	54	43%	3	142,317	330,969
Accounts payable cutoff - LTM Jun-2026	Goods receipt notes	28	74%	4	153,149	206,958
Accrued liabilities completeness - FY2025	Vendor statements	54	83%	6	91,193	109,871
Accrued liabilities completeness - LTM Jun-2026	Vendor statements	74	37%	3	172,072	465,059
Manual journal entries - FY2025	Journal extract	32	74%	5	63,207	85,414
Manual journal entries - LTM Jun-2026	Journal extract	25	25%	2	107,493	429,972
Cash receipts application - FY2025	Remittance advices	54	77%	2	15,113	19,627
Cash receipts application - LTM Jun-2026	Remittance advices	26	66%	4	53,935	81,719
Unbilled receivable ageing - FY2025	Project records	23	63%	2	82,755	131,357
Unbilled receivable ageing - LTM Jun-2026	Project records	19	76%	4	12,925	17,006

8. Information request register at the date of this file

Open items are the most negotiated part of a diligence record, so each carries the effect if unresolved rather than only its status. Per the workpaper,, management represented that the extended warranty added to one contract is immaterial as a separate performance obligation, without providing a quantification. Per the register,, subsequent events to 2026-07-16 were reviewed only for their bearing on balances and periods within scope.

IR-045 asks for fixed asset additions traced to underlying engineering tickets. The request for fixed asset additions traced was raised on 2026-06-24 with the seller - engineering manager and material was provided on 2026-07-06, leaving the item received - under review. For fixed asset additions traced, the conclusion would change if the missing supporting document is later produced in a different form. On any view,, the capitalization reclassification could change if further tickets support the treatment management applied. By reference, the seller - controller holds IR-027, billing system extract reconciled to the general ledger by month, requested 2026-06-19. Read narrowly,, the extract was reconciled and the residual monthly differences are immaterial and explained. On billing system extract reconciled, as at the date of this file material was provided on 2026-06-27 and the item is closed. For billing system extract reconciled, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. As to the facts, the information request log records IR-078, journal entry extract with preparer and approver fields, addressed to the seller - systems administrator and requested on 2026-06-30; material was provided on 2026-07-04. The status is recorded as closed. On its facts,, the extract enabled the exception testing; approver fields are blank for a subset of entries, which is itself the finding. For journal entry extract with, the reviewer notes that management agreed the facts while reserving its position on the treatment.

IR-014 asks for signed acceptance certificate for crestline site three. The request for signed acceptance certificate for was raised on 2026-06-18 with the seller - deployment lead and nothing has been provided, leaving the item open. For signed acceptance certificate for, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. Per the workpaper,, without a dated certificate the transfer month rests on the installer's log, leaving a month of hardware revenue in the wrong period. At the cut-off, the reviewer requested IR-059, hosting agreement effective 2026-04-30 with the rate card, addressed to the seller - it director and requested on 2026-06-26; material was provided on 2026-06-30. The status is recorded as closed. On the balance,, the agreement supported the contractual portion of the hosting savings and allowed the rest to be rejected. For hosting agreement effective 2026-04-30, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. Taken alone, the seller - credit control holds IR-049, customer credit and unapplied cash listing at 2026-06-30, requested 2026-06-24.

In the file,, the listing supported the customer credit balance treated as debt-like and reconciled to the aged receivable report. On customer credit and unapplied, as at the date of this file material was provided on 2026-07-03 and the item is closed. For customer credit and unapplied, a small residual difference remains and is reported rather than described as immaterial and omitted.

On the documents, the seller - revenue accountant holds IR-031, standalone selling price analysis for bundled northfield contracts, requested 2026-06-20. In substance,, allocation for the bundled contracts cannot be independently tested, so the revenue split between obligations is unverified. On standalone selling price analysis, as at the date of this file nothing has been provided and the item is open. For standalone selling price analysis, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. In this stream, the log shows IR-103, change request pricing for the vantage additional units, addressed to the seller - commercial and requested on 2026-07-06; nothing has been provided. The status is recorded as open. From the extract,, variable consideration arising after the cut-off cannot be estimated, so the post-cut-off revenue trend is qualified. For change request pricing for, the reviewer notes that management agreed the facts while reserving its position on the treatment. On the balance, also open is IR-099, reconciliation of the fixed asset register to the ledger, addressed to the seller - controller and requested on 2026-07-03; nothing has been provided. The status is recorded as open. On the merits,, depreciation in the earnings measure cannot be tied to the register, which limits the capital expenditure commentary. For reconciliation of the fixed, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed.

Read narrowly, the register carries IR-081, inventory count sheets for the june 2026 physical count, addressed to the seller - operations and requested on 2026-07-01; the response is partially received. The status is recorded as open. On its facts,, count coverage of the spares pool cannot be confirmed, so inventory in the working capital peg rests on the perpetual records. For inventory count sheets for, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. On inspection, a further request, IR-071, aged unbilled receivable detail with billing triggers, addressed to the seller - project accountant and requested on 2026-06-29; nothing has been provided. The status is recorded as open. In the event,, without billing triggers the reviewer cannot distinguish unbilled amounts awaiting a milestone from those awaiting customer sign-off. For aged unbilled receivable detail, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected. IR-088 asks for analysis of the pinecrest option pricing against list. The request for analysis of the pinecrest was raised on 2026-07-02 with the seller - revenue accountant and nothing has been provided, leaving the item open. For analysis of the pinecrest, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. On testing,, the material right judgment stays open, and any allocation to the option would move revenue between periods.

Schedule 11.6 - Receivable, payable and inventory days by month

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
2024-01	4,252,122	1,616,144	59	28	80	111	Payables stretched at the period end
2024-02	4,312,108	1,677,985	47	28	75	94	Improved after the credit control change
2024-03	5,525,080	2,368,792	67	51	72	88	Improved after the credit control change
2024-04	6,369,718	1,446,709	72	58	94	108	Improved after the credit control change
2024-05	4,559,707	1,055,700	73	41	71	103	Elevated by two late enterprise settlements
2024-06	3,184,525	1,408,149	72	32	46	86	Payables stretched at the period end
2024-07	3,834,863	1,225,220	74	40	113	147	Distorted by a single milestone invoice
2024-08	6,385,699	1,221,920	40	58	114	96	Payables

Month	Receivables ($)	Unbilled ($)	DSO (days)	DPO (days)	DIO (days)	Cash cycle (days)	Comment
							stretched at the period end
2024-09	6,025,865	2,250,670	67	37	66	96	Within the trailing average
2024-10	6,785,867	1,961,400	55	42	73	86	Distorted by a single milestone invoice
2024-11	5,452,913	643,703	53	30	77	100	Payables stretched at the period end
2024-12	4,814,557	2,252,146	67	29	64	102	Distorted by a single milestone invoice
2025-01	3,520,689	1,130,254	60	62	68	66	Improved after the credit control change
2025-02	5,292,903	1,664,558	57	31	115	141	Inventory build ahead of a phase release
2025-03	6,327,407	2,027,345	51	54	100	97	Inventory build ahead of a phase release
2025-04	3,592,502	1,344,381	52	53	81	80	Payables stretched at the period end
2025-05	4,066,127	2,206,013	60	55	60	65	Improved after the credit control change
2025-06	5,363,186	749,626	52	52	111	111	Payables stretched at the period end
2025-07	3,335,411	2,376,535	67	42	113	138	Payables stretched at the period end
2025-08	3,384,486	1,683,622	57	47	100	110	Distorted by a single milestone invoice
2025-09	4,732,810	1,589,051	65	40	50	75	Distorted by a single milestone invoice
2025-10	4,145,578	733,377	54	53	56	57	Within the trailing average
2025-11	4,053,890	1,817,513	46	51	117	112	Inventory build ahead of a phase release
2025-12	6,692,218	2,011,324	62	58	63	67	Inventory build ahead of a phase release
2026-01	6,486,599	2,176,102	54	36	60	78	Elevated by two late enterprise settlements
2026-02	3,358,029	1,205,830	42	60	78	60	Inventory build ahead of a phase release
2026-03	3,372,028	750,988	60	47	71	84	Payables stretched at the period end
2026-04	3,249,610	905,391	39	58	112	93	Inventory build ahead of a phase release
2026-05	5,515,003	1,259,064	73	59	87	101	Inventory build ahead of a phase release
2026-06	6,077,715	639,767	72	53	102	121	Within the trailing average

9. Scope limitations and matters the reviewer could not resolve

A diligence record is only useful if it is honest about its gaps, so the reviewer lists here every matter that could not be resolved within the fieldwork window. On the papers,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. On a second read,, access to post revenue journals extended beyond the accounting team until access rights were narrowed in July 2025.

In this stream,, reconciliation differences are reported at the amount found, including small residuals, rather than being described as immaterial and omitted. In the file,, management represented that intercompany settlement with the Ontario entity is unrestricted, while the settlement history shows a consistent six-week lag. On the balance,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger. IR-096 asks for confirmation of restricted cash release conditions. The request for confirmation of restricted cash was raised on 2026-07-03 with the seller - treasury and the response is received - under review, leaving the item pending. For confirmation of restricted cash, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. In detail,, if release depends on milestones beyond closing the balance stays outside cash at closing.

In detail,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. In substance,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only. By reference,, interim balances at 2026-06-30 have not been subject to a physical inventory count observed by the reviewer; the June count sheets were requested and only partially provided. IR-088 asks for analysis of the pinecrest option pricing against list. The request for analysis of the pinecrest was raised on 2026-07-02 with the seller - revenue accountant and nothing has been provided, leaving the item open. For analysis of the pinecrest, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. In the event,, the material right judgment stays open, and any allocation to the option would move revenue between periods.

Per the register,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent. On the documents,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed. In sequence,, the reviewer worked from the statutory ledger throughout; where management's own adjustments had been posted into the ledger they were reversed before analysis rather than accepted as reported. On the balance, the seller - hr director holds IR-107, detail of the fy2026 discretionary bonus by participant, requested 2026-07-06. From the extract,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced. On detail of the fy2026, as at the date of this file the response is partially received and the item is open. For detail of the fy2026, the item was selected for testing because of its characteristics rather than its size.

On the evidence,, post-cut-off trading was reviewed only to July 2026 and only for evidence bearing on balances at the cut-off; it is not a basis for any forward projection. On inspection,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report. In sequence,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure. On the papers, the seller - finance director holds IR-041, engagement letters for all adviser fees in the period, requested 2026-06-23. On the balance,, two invoices remain unsupported, so the split between transaction and ordinary-course professional fees is provisional. On engagement letters for all, as at the date of this file the response is partially received and the item is open. For engagement letters for all, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference.